

No single participant can control the minting and burning of wBTC, and all BTC entering the system is audited via transaction receipts that verify custody of on-chain funds. These safeguards increase the system's transparency and reduce the risk to users that is inherent in the system. Because the network consists of merchants and custodians, any fraud is quickly expungable from the network at only a small overall cost versus the cost that would be incurred in a single centralized entity. The mechanism by which merchants and custodians enter and leave the network is a multi-signature wallet controlled by the wBTC DAO. In this case, the DAO does not have a governance token; instead, a set of owners who can add and remove owners controls the DAO. The contract currently allows a maximum of 50 owners, with a minimum threshold of 11 to invoke a change. The numbers 50 and 11 can be changed, if a number of conditions are met. This system is more centralized than other governance mechanisms we have discussed, but is still more decentralized than allowing a single custodian to control all the wBTC.